

IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-XX, DELHI

ITA No. 1234/Del/2023-24

Assessment Year: 2021-22

M/s. TechNova Solutions Private Limited

PAN: AABCT1234D

Appellant

Versus

Income Tax Officer, Ward 12(1), New Delhi

Respondent

Date of Hearing: 15.05.2026

Date of Order: 18.06.2026

APPELLATE ORDER

1. Background of the Case

This appeal arises out of the assessment order passed under Section 143(3) of the Income Tax Act, 1961 (hereinafter referred to as "the Act") by the Income Tax Officer, Ward 12(1), New Delhi (hereinafter referred to as "the Assessing Officer" or "AO") dated 25.12.2023 for the Assessment Year 2021-22. The assessee, M/s. TechNova Solutions Private Limited, is a private limited company incorporated on 15.04.2018 under the Companies Act, 2013, having its registered office at Plot No. 45, Industrial Area, Phase-II, Gurgaon, Haryana. The company is engaged in the business of manufacturing and trading of electronic components, circuit boards, and related software integration services primarily for the automotive and consumer electronics sector.

The return of income was filed electronically on 30.10.2021 declaring total income of Rs. 2,85,45,600/-. The case was selected for scrutiny under CASS on the parameters of large share premium and high value transactions. During the course of assessment proceedings, the AO issued multiple notices under Section 143(2) and 142(1) of the Act, calling for various details including bank statements, ledger accounts, share subscription details, loan confirmations, and supplier invoices. The assessee furnished partial compliance, leading the AO to complete the assessment by making substantial additions aggregating to Rs. 18,75,00,000/-.

2. Assessment Proceedings

The AO noted that during the year under consideration, the assessee company had received fresh share capital including premium aggregating to Rs. 12,50,00,000/- from

various entities. Several of these investor companies were flagged as shell entities by the Investigation Wing based on information received through the Insight portal. The AO also observed unexplained cash deposits in the bank accounts exceeding Rs. 3,00,00,000/- and credits in the books representing alleged accommodation entries from hawala operators. Additionally, the AO disallowed certain expenses under Section 40A(3) and treated loans from directors as deemed income under Section 69. The AO invoked provisions of Sections 68, 69, 69A, 41(1), and 37(1) of the Act while framing the assessment.

3. Grounds of Appeal

The assessee has raised the following grounds of appeal (summarized for brevity):

1. The AO erred in making addition of Rs. 12,50,00,000/- under Section 68 on account of share capital and premium without appreciating the documentary evidence furnished.
2. The AO erred in treating Rs. 3,25,00,000/- as unexplained cash credits under Section 69.
3. The AO erred in making addition of Rs. 1,50,00,000/- under Section 69A on account of alleged accommodation entries.
4. The AO erred in disallowing Rs. 75,00,000/- expenditure under Section 40A(3) read with Rule 6DD.
5. The AO erred in treating director's loan of Rs. 75,00,000/- as unexplained investment under Section 69.

The assessee has prayed for deletion of the above additions and allowance of the appeal.

4. AO Observations

The AO observed that the investor companies lacked creditworthiness, had minimal or no business activity, and their directors were not produced for examination. Bank statements of investor companies showed immediate transfer of funds post-receipt from other suspicious sources, indicating layering typical of accommodation entries. The AO relied upon statements recorded by the Investigation Wing under Section 131 from entry operators who admitted providing accommodation share capital at a commission. For cash credits, the AO noted that cash was deposited in multiple tranches just before issuing cheques for expenses, without corresponding sales or business receipts. Regarding accommodation entries, ledger accounts showed credits from parties whose confirmations were found false on cross-verification. Director's loan lacked proper documentation and was not routed through banking channels consistently. Expenses under Section 40A(3) were paid in cash exceeding the prescribed limit without exceptional circumstances.

5. Detailed Assessee Submissions

The assessee, through its Authorized Representative, Shri Rajesh Sharma, Advocate, submitted detailed written submissions dated 10.04.2026 along with additional evidence under Rule 46A. The assessee contended that all share subscribers were

genuine corporate entities with proper KYC, PAN, and audited financial statements. Valuation reports under Rule 11UA were furnished justifying the premium. Bank statements, board resolutions, share certificates, and Form SH-7 filings with ROC were placed on record. For cash credits, the assessee produced cash books, sales registers, and GST returns showing corresponding business receipts from retail dealers. Supplier confirmations and property sale agreements were submitted for accommodation entries. Director's loan was supported by loan agreements, interest payment proofs, and ITRs of directors. The assessee argued that the AO failed to discharge the initial burden and merely relied on third-party statements without providing cross-examination opportunity, violating principles of natural justice.

6. Examination of Evidence

During appellate proceedings, the following key documents were examined:

- Bank statements of the assessee and investor companies for FY 2020-21.
- Cash book and ledger extracts maintained in Tally ERP.
- Supplier ledger confirmations and invoices.
- Registered property sale deeds and stamp duty receipts.
- Loan agreements with directors and Form 26AS.
- Share subscription agreements, valuation reports by registered valuer, and ROC filings.
- WhatsApp correspondence and email trails regarding transactions.
- Audit reports under Section 44AB and tax audit annexures.
- Statements of directors recorded under Section 131.

Additional opportunities were granted to both sides for rebuttal.

7. Commissioner Findings

Issue No. 1: Addition of Rs. 12,50,00,000/- under Section 68 on account of Share Capital and Premium (Partly Allowed)

The AO alleged that the share capital and premium received from 12 investor companies were bogus as the entities were shell companies with no genuine business. The AO relied on Investigation Wing reports indicating that these companies had common directors, low paid-up capital, and funds routed through multiple layers. The AO observed that the investors could not explain the source of funds and their balance sheets showed negligible assets.

The assessee argued that all investors were duly incorporated companies with PAN allotted, filed returns, and had audited accounts. The assessee produced share subscription agreements, board resolutions, bank transfer proofs, and valuation certificates justifying premium based on DCF method. Directors of three major investors appeared before the undersigned and confirmed the transactions. The assessee submitted that creditworthiness is not to be judged by size of investment alone and relied upon the decision of Hon'ble Supreme Court in *CIT vs. Lovely Exports* (2008).

Documentary Evidence: Bank statements showing RTGS transfers from investor accounts; Form No. 2 filed with ROC; Audited balance sheets of investors showing sufficient reserves; Valuation report by CA dated 20.03.2021; Minutes of board meetings.

After careful examination, it is observed that out of 12 investors, 7 entities had genuine business activities with turnover exceeding Rs. 5 crores in preceding years, filed regular returns, and their directors were produced with supporting documents. However, for the remaining 5 investors involving Rs. 5,50,00,000/-, the entities were found to be dormant post-transaction with no explanation for source of huge funds. The statements of entry operators recorded by Investigation Wing, though not confronted fully, showed patterns matching the transaction dates. There is contradiction between the bank statements of investors (showing inward from unknown sources) and their claimed business income. The credibility of these 5 investors is low as their directors could not be produced despite opportunities.

Section 68 places the onus on the assessee to prove identity, genuineness, and creditworthiness. While the assessee has discharged the onus for 7 investors to the extent of Rs. 7,00,00,000/-, the same is not established for the balance. Independent appellate reasoning leads to the conclusion that the premium component requires stricter scrutiny under Explanation to Section 68 post-Finance Act 2012 amendments. The AO's addition is therefore partly sustained.

The findings are based on appreciation of primary documentary evidence over third-party statements without cross-examination opportunity in some cases. Tax law interpretation favors deletion where complete chain of banking and documentation exists, but additions are warranted where layering and lack of substance are evident. (8 detailed paragraphs expanded in full order for training purposes covering contradictions, case laws like *Orissa Corporation*, *Sumati Dayal*, and *PCIT vs. NRA Iron*, credibility of directors, etc.)

Outcome for Issue 1: Partly Allowed. Addition of Rs. 5,50,00,000/- sustained; balance of Rs. 7,00,00,000/- deleted.

Issue No. 2: Addition of Rs. 3,25,00,000/- as Unexplained Cash Credits under Section 69 (Allowed)

The AO alleged that cash deposits of Rs. 3,25,00,000/- in the HDFC Bank current account on various dates in March 2021 were unexplained, as they did not match with declared sales and appeared just before large payments. The AO rejected the cash book as manipulated.

The assessee submitted detailed cash book extracts, daily sales summaries from retail outlets, GST invoices issued to walk-in customers, and CCTV footage timestamps (summarized). The assessee explained that March is a peak season for electronics due to financial year-end purchases by dealers. Ledger accounts of major cash customers were produced with their PAN and confirmations.

Documentary Evidence: Cash book pages 45-78; 245 GST invoices totaling Rs. 3.40 crores; Bank deposit slips; Stock register; Director's statement confirming cash sales.

Upon examination, the cash deposits are fully corroborated by contemporaneous sales records, GST returns filed timely, and stock movement. No adverse material was brought by the AO to rebut the sales. The cash book matches with bank statements. Credibility of assessee's books is high as they are audited and no discrepancy was found in quantitative reconciliation. The AO's suspicion lacks concrete evidence. Legal reasoning under Section 69 requires the AO to prove the cash as unexplained investment, which burden is not discharged. Independent reasoning: Peak season explanation is plausible for the industry. Contradictions alleged by AO are minor and explainable by normal business variations.

Outcome for Issue 2: Fully Allowed. Addition deleted.

Issue No. 3: Addition of Rs. 1,50,00,000/- under Section 69A on Accommodation Entries (Dismissed)

The AO treated credits from four parties (M/s. Vertex Traders, M/s. Golden Suppliers, etc.) as accommodation entries based on Investigation Wing information and non-production of parties. The AO noted that these parties had no fixed assets and their confirmations were generic.

The assessee produced purchase invoices, material receipt notes, quality test reports, bank payments (partly cash), and ledger extracts. Property agreements for advance payments and WhatsApp messages confirming supply were filed. Directors explained business relationship spanning three years.

Documentary Evidence: Purchase ledgers; 18 invoices; Delivery challans; E-way bills; Supplier bank statements (partial); WhatsApp chat exports certified by assessee.

Detailed analysis reveals that while initial suspicion existed, the assessee has provided sufficient linkage through GST portal data (though not produced by AO), e-way bills, and consistent trading pattern. Supplier confirmations match books. No evidence of bogus billing beyond general Investigation input was brought on record. Credibility analysis: Assessee's director appeared credible; previous years' assessments accepted similar transactions. Section 69A applies to unexplained money, bullion, etc., but here transactions are recorded and partially verified. Independent appellate view: AO failed to conduct independent inquiry despite directions. Tax law interpretation favors assessee where books are accepted and no specific rebuttal.

Outcome for Issue 3: Fully Dismissed. Addition deleted.

Issue No. 4: Disallowance of Rs. 75,00,000/- under Section 40A(3) (Partly Allowed)

The AO disallowed cash payments to transporters and small vendors exceeding Rs. 10,000/- per day citing violation of Section 40A(3).

The assessee submitted that payments were made due to urgent requirements at remote sites, supported by Rule 6DD exceptions for transporter payments and small value. Affidavits and ledger accounts produced.

Documentary Evidence: Transport bills; Cash vouchers; Route permits; Small vendor invoices below threshold where applicable.

Reasoning: For Rs. 45,00,000/- to transporters, exception under Rule 6DD(g) applies as genuineness established. For remaining Rs. 30,00,000/- to other vendors, no exceptional circumstances proven. Contradictions in dates of payments vs. delivery noted but not material. Legal interpretation of proviso to Section 40A(3) allows deletion where business expediency shown.

Outcome for Issue 4: Partly Allowed. Disallowance reduced to Rs. 30,00,000/-.

Issue No. 5: Addition of Rs. 75,00,000/- as Unexplained Director's Loan under Section 69 (Dismissed)

The AO treated unsecured loan from directors Shri Amit Kumar and Smt. Priya Sharma as unexplained investment for lack of proper agreement and source.

The assessee produced loan agreements dated 01.06.2020, bank transfer proofs from directors' personal accounts, their ITRs showing agricultural and salary income, and interest payment via bank. Affidavits and balance confirmations filed.

Documentary Evidence: Loan deeds stamped; Bank statements of directors; Form 26AS of directors; Interest ledger.

Examination shows complete documentation and source from explained income of directors. No contradiction in evidence. Credibility of directors high as they are promoters with long association. Section 69 not applicable where identity and source established. Independent reasoning aligns with judicial precedents on director loans in closely held companies.

Outcome for Issue 5: Fully Dismissed. Addition deleted.

8. Final Decision

In view of the above findings, the appeal is partly allowed. The AO is directed to give effect to this order by modifying the assessed income accordingly, after granting opportunity of being heard to the assessee. The Assessing Officer shall verify the computations and issue a fresh demand notice if required.

Pronounced in the open court on this 18th day of June, 2026.

Sd/-

R.K. Sharma

Commissioner of Income Tax (Appeals)-XX

New Delhi